FINATRADES

FinaBridge Trade Credit & AI-Powered Deal Room

Strategic Initiative Proposal for Board Approval

Tripartite Trade Finance Facilitation Platform

Prepared by: Product Strategy & Technology Division

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CONFIDENTIAL — BOARD REVIEW ONLY

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SECTION 1

Executive Summary

Finatrades currently operates as a gold-backed digital payments and vault platform serving retail and corporate clients across the UAE and emerging markets. This proposal recommends the strategic expansion of the existing **FinaBridge** module into a full-spectrum **Trade Finance Facilitation Platform**, augmented by an **AI Agent Layer** that automates document processing, risk assessment, fraud detection, and client advisory functions.

> **Key Proposition:** Finatrades becomes the first gold-backed, AI-native trade finance intermediary in the Middle East — operating as a **deal facilitator**, not a lender — with zero credit risk exposure to the platform.

The proposed **FinaBridge Deal Room** model enables importers to upload verified Letters of Credit and trade instruments, which are validated by AI. The platform then creates structured deal proposals, matches them with exporters, and facilitates the entire transaction lifecycle in a secure, tripartite deal room — earning facilitation fees without extending credit or carrying balance sheet risk.

Strategic Highlights

- **Zero credit risk** — Finatrades acts as facilitator and escrow, not lender
- **AI-native operations** — 5 specialised AI Agents handle document verification, risk scoring, fraud detection, client advisory, and settlement monitoring
- **Gold-backed settlement** — Unique positioning using gold as a neutral, inflation-resistant unit of account
- **$700B+ addressable market** — MENA-Asia-Africa trade finance corridor
- **Fee-based revenue** — No regulatory capital requirements for credit provision

> **Board approval is sought for Phase 1 development and pilot deployment with 20–30 existing verified corporate clients.**

SECTION 2

The Problem Trade Finance Solves

International trade has one fundamental tension: the **importer wants goods before paying**, and the **exporter wants payment before shipping**. Neither side fully trusts the other, and neither wants to carry the financial risk of the gap between shipment and settlement — which can be 30 to 120 days.

The Global Trade Finance Gap

The International Chamber of Commerce (ICC) estimates a **$2.5 trillion annual trade finance gap** globally — meaning legitimate, creditworthy trade transactions that cannot access financing. Approximately **$700 billion of this gap** sits within the Asia–Middle East–Africa corridor, the primary market Finatrades already serves.

Why the Gap Exists

CHALLENGE	IMPACT
Manual document processing	7–10 business days per LC verification
60–70% document discrepancy rate	Delays, rejections, additional fees
Paper-based courier workflows	$500–$1,000 per transaction in courier costs
High bank compliance costs	Banks withdrawing from emerging market trade
Lack of digital infrastructure	SMEs excluded from trade finance access

The Finatrades Advantage

Gold as Reserve Currency

Gold is universally accepted, not subject to bilateral currency volatility, and deeply trusted in the Middle East, South Asia, and Sub-Saharan Africa — the three dominant corridors of the trade gap.

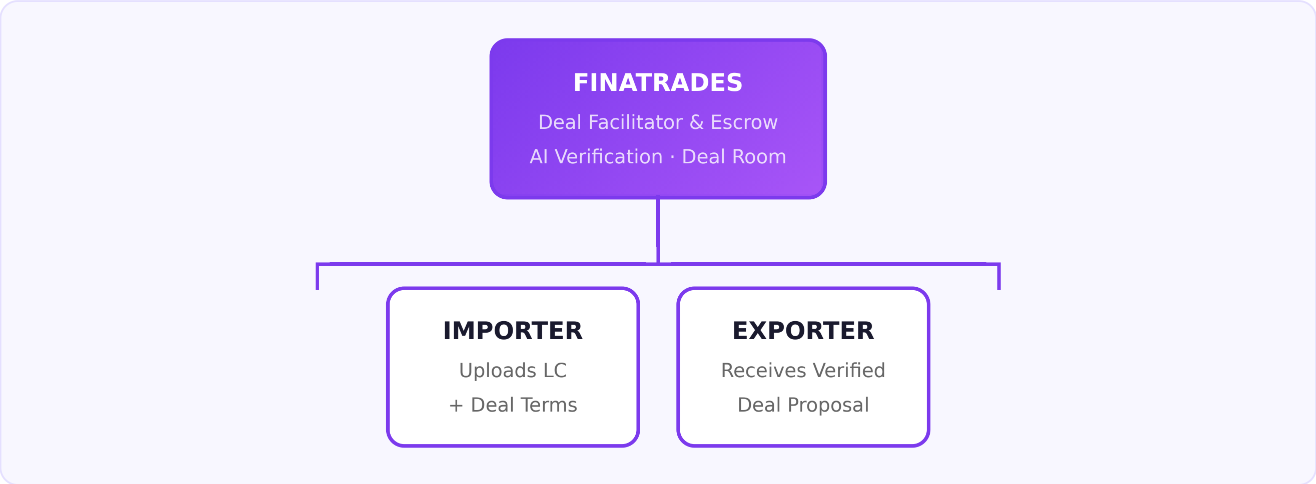
Existing User Base

Finatrades already has KYC-verified corporate users transacting daily. Extending trade finance to this cohort is a product expansion, not a new market acquisition.

SECTION 3

The Three-Party Deal Room Model

In this model, Finatrades does **not lend** against trade instruments. Instead, the LC serves as **proof of payment capacity** that unlocks access to a live deal. Finatrades earns facilitation fees with zero balance sheet exposure.



The Three Roles

PARTY	ROLE	WHAT THEY PROVIDE
Importer	Deal Initiator	Uploads bank-issued LC, specifies commodity requirements, delivery terms, port destinations, Incoterms
Exporter	Deal Responder	Reviews verified deal proposals, provides goods, uploads shipping documents (BL, invoice, packing list)
Finatrades	Deal Facilitator	AI-powered LC verification, deal structuring, document compliance checking, secure Deal Room, gold-based settlement, audit trail

Critical Difference: The LC is not collateral for a loan. It is **proof of funded payment capacity** — verified by AI — that gives the exporter confidence to engage. Finatrades never extends credit and carries zero default risk.

SECTION 4

Deal Flow — Step by Step

1 Importer Submits LC & Deal Details

The importer navigates to FinaBridge and opens **"Create a Trade Deal."** They upload the Letter of Credit (PDF from their bank) and fill in a structured deal form: commodity type and description, quantity, delivery timeline, port of loading, port of destination, preferred Incoterms (FOB, CIF, DDP), and any special conditions such as inspection requirements.

The **DocAgent (AI)** immediately reads the LC via OCR, extracts key fields (issuing bank, LC number, expiry date, credit amount, beneficiary conditions), cross-checks the issuing bank against the SWIFT BIC directory, validates that the LC expiry is sufficient for the proposed deal timeline, and flags any discrepancies. If the LC passes validation, the deal advances to **"Pending Deal Proposal"** status.

2 Platform Creates the Deal Proposal

The **RiskAgent** and **AdvisoryAgent** together generate a structured **Deal Proposal Card** containing: verified LC summary (amount, issuing bank, expiry, document requirements), deal specifications from the importer, platform verification status (Green / Amber / Red based on LC quality), suggested deal timeline, and a recommended document checklist for the exporter.

This Deal Proposal Card is made visible to matched exporters on the platform or sent directly to specific exporters the importer nominates.

3 Exporter Reviews and Responds

The exporter sees the Deal Proposal in their FinaBridge dashboard under **"Open Deals."** They can verify the LC is real (platform badge from DocAgent), review deal terms, and choose to **Accept** (deal moves to Deal Room), **Counter-Propose** (modified terms sent back to importer), or **Decline**. When both parties reach agreement, the deal is locked and the Deal Room opens.

4 The Deal Room

A secure, structured workspace inside FinaBridge visible only to the three parties. It contains:

- **Document Exchange Panel** — Both parties upload and exchange documents required by the LC. DocAgent checks each upload against LC requirements in real time.
- **Deal Timeline** — Visual tracker: LC Verified → Deal Agreed → Goods Shipped → BL Uploaded → Docs to Bank → LC Paid → Settlement.
- **Communication Thread** — Logged, time-stamped messaging. AdvisoryAgent participates to answer document and Incoterms questions.
- **Settlement Panel** — Final confirmation and fee processing.

5 Settlement & Closure

When the exporter confirms LC payment receipt, Finatrades calculates and deducts the facilitation fee (in gold or fiat equivalent). The Deal Room is archived with the full document trail preserved for 7 years. Both parties receive a **Deal Completion Certificate** — a verifiable record of the facilitated transaction.

SECTION 5

AI Agent Layer — Intelligence Built In

AI Agents are autonomous software units that perform defined tasks with a degree of judgement — querying data, reasoning over documents, making recommendations, and executing workflows — without requiring constant human instruction. Five specialised agents power the FinaBridge Deal Room:

AGENT 1

DocAgent — Document Intelligence

Function: Receives uploaded trade documents (LC, BL, warehouse receipt, certificate of origin, invoice). Performs OCR extraction, cross-references extracted data against global trade databases (port authority records, SWIFT BIC directories, warehouse registry APIs), identifies discrepancies, and produces a structured verification report within minutes.

Impact: Replaces 4–6 manual document review staff at scale. Reduces processing from 3–7 business days to under 4 hours. Achieves 95%+ extraction accuracy vs. 60–70% industry discrepancy rate.

AGENT 2

RiskAgent — Credit & Deal Risk Intelligence

Function: Dynamically assesses each deal against a multi-factor model: issuing bank tier and creditworthiness, counterparty jurisdiction risk, trade corridor risk ratings, historical user behaviour on the platform, and document authenticity signals from DocAgent.

Output: Deal health score (Green / Amber / Red), recommended verification level, flag for human review if anomalies are detected, and a structured risk summary stored in the audit trail.

AGENT 3

FraudAgent — Fraud Prevention

Function: Screens each submitted document for signs of duplication, tampering, or double-pledging (the most common form of trade finance fraud). Cross-references against internal platform records and, where API access is established, external trade finance registries. Monitors ongoing transactions for behavioural anomalies — unusual transaction velocity, mismatched shipping routes, counterparty changes mid-transaction.

Impact: Trade finance fraud costs the industry $3–4 billion annually. FraudAgent operates continuously without human attention gaps.

SECTION 5 (CONTINUED)

AI Agent Layer — Continued

AGENT 4

AdvisoryAgent — Client Intelligence

Function: A conversational AI Agent accessible to corporate users within the Deal Room. Trained on trade finance regulations, Incoterms, SWIFT standards, UCP 600, and Finatrades product rules. Advises clients on optimal trade structures, required documents, expected timelines, and regulatory requirements by trade corridor. Available 24/7 across all time zones.

Impact: Reduces client onboarding friction. Eliminates need for a large client services team during early-stage growth. Handles 80%+ of routine trade finance questions without human escalation.

AGENT 5

SettleAgent — Settlement & Reconciliation

Function: Monitors all open deal positions. Tracks LC expiry dates, BL delivery confirmations, and deal milestones. When settlement conditions are met, automatically initiates closure workflows. Generates daily treasury reports for the UFM team and issues alerts for positions approaching expiry.

Impact: Eliminates the most labour-intensive aspect of trade operations. Enables the risk team to operate at scale without proportional headcount growth.

Agent Processing Summary

AGENT	PRIMARY FUNCTION	PROCESSING TIME
DocAgent	OCR + document verification	< 4 hours
RiskAgent	Deal health scoring	< 2 hours
FraudAgent	Fraud & duplicate detection	Real-time
AdvisoryAgent	Client guidance & Q&A	Instant
SettleAgent	Settlement monitoring	Continuous

SECTION 6

Revenue Model

Since Finatrades is not lending, all revenue is **fee-based**. This means no regulatory capital requirements for credit provision and no balance sheet risk. Revenue is earned on deal completion — aligned with client success.

REVENUE STREAM	RATE	WHEN CHARGED
Deal Submission Fee	$100 – $200 flat	When importer submits LC + deal
Deal Facilitation Fee	0.5% – 1.0% of deal value	On successful deal completion
Document Verification Fee	$75 per instrument	Per LC or document check
Deal Room Premium	$199/month subscription	Corporate accounts — unlimited Deal Rooms
AdvisoryAgent Access	$299/month subscription	Corporate subscription
Dispute Resolution Service	$500 flat	Per formal dispute mediation request

Illustrative Year 2 Revenue Projection (Conservative)

METRIC	VALUE
Active corporate clients	500
Average facility size	$250,000
Average transactions per client per year	3
Total facilitated volume	$375,000,000
Blended fee rate	1.5%
Gross Revenue (trade finance line)	**$5,625,000 per annum**

This is incremental revenue — entirely additive to all existing Finatrades revenue streams from wallet services, FinaVault, BNSL, and FinaCard.

SECTION 7

Deal Room vs LTV Credit — Why This Model Wins

The Deal Room model eliminates the single biggest risk in traditional trade finance platforms: **credit default exposure**. Finatrades earns on throughput, not on lending margins.

DIMENSION	LTV CREDIT MODEL	DEAL ROOM MODEL (PROPOSED)
Finatrades risk exposure	High — credit default risk	✓ None — facilitator only
Regulatory complexity	High — lending regulation	✓ Lower — marketplace model
Capital requirement	Significant reserve buffer	✓ Minimal
Revenue predictability	Tied to credit performance	✓ Tied to deal volume
Speed to market	Slower — credit framework	✓ Faster — no credit infra
Scalability	Limited by risk appetite	✓ Unlimited — scales with volume
Bank relationship required	Yes — for credit backing	✓ No — platform-native

SECTION 8

Competitive Positioning

CAPABILITY	FINATRADES	KOMGO	CONTOUR	BANKS
Gold-backed settlement	✓ **Unique**	✗	✗	✗
AI document processing	✓	Partial	Partial	✗
AI risk agent	✓	✗	✗	✗
AI client advisory	✓	✗	✗	✗
MENA market focus	✓	✗	✗	Partial
SME accessible	✓	✗	✗	✗
Deal processing time	**Same day**	✗	24 hours	3–7 days
Multi-instrument support	**LC+BL+WR**	LC+BL	LC only	LC+BL+WR
Zero credit risk	✓ **Deal Room**	✗	✗	✗

Defensible Moat: Finatrades enters this space as the only player combining gold-backed liquidity, AI-native operations, zero credit risk architecture, and MENA market specialisation. This combination is not rapidly replicable by any existing competitor.

SECTION 9

Implementation Roadmap

Phase 1 — Foundation (Months 1–4)

- FinaBridge Trade Credit module — LC pathway only
- DocAgent v1 (OCR extraction + structured output)
- Manual KYC officer review workflow
- Corporate KYB (Know Your Business) onboarding upgrade
- Secure Deal Room with document exchange and communication
- Pilot with 20–30 existing corporate clients
- Legal sign-off on LC instrument acceptance framework

Milestone: First live tripartite deal completed on platform

Phase 2 — Expansion (Months 4–8)

- Warehouse receipt deal pathway
- Bill of Lading deal pathway
- FraudAgent deployment (double-pledge detection)
- RiskAgent v1 (automated deal health scoring)
- SettleAgent v1 (automated monitoring and alerts)
- AdvisoryAgent beta (internal testing)

Milestone: 100 active corporate accounts, $25M facilitated volume

Phase 3 — Intelligence & Scale (Months 8–14)

- AdvisoryAgent full deployment to clients
- SWIFT API integration for real-time LC verification with issuing banks
- Secondary market for trade receivables on-platform
- RiskAgent v2 with machine learning on platform’s own historical data
- Geographic expansion: Saudi Arabia, Egypt, Pakistan, Kenya corridors

Milestone: $100M+ quarterly facilitated volume, trade finance line operating profitably

SECTION 10

Governance & Oversight Requirements

Approval of this initiative requires the following governance commitments from the executive team:

1. Head of Trade Finance Operations

A senior hire with trade finance and compliance experience to own the deal verification framework, manage the KYC review process, and oversee AI Agent output quality. This role reports to the COO and serves as the human-in-the-loop for all deal approvals during Phase 1.

2. Risk Committee Sign-off on Deal Policy

Instrument eligibility criteria, maximum deal sizes, country exposure limits, and acceptable issuing bank tiers must be approved by the risk committee before any live deal is facilitated.

3. Legal Counsel Engagement

Instrument types must be reviewed under UAE law, and jurisdiction-specific rules must be established for each trade corridor before launch. UCP 600 compliance for LC handling and electronic document acceptance must be confirmed.

4. Central Bank Registration Review

Depending on final product structure, engagement with the UAE Central Bank or relevant ADGM/DIFC regulatory frameworks may be required. This assessment should be completed in Phase 1.

5. IT Security & Data Governance

Trade documents contain highly sensitive commercial information. A data governance framework covering document storage, access controls, encryption standards, and retention policies (minimum 7 years) must be established alongside development.

6. AI Governance Framework

All AI Agent decisions must be explainable, auditable, and subject to human override. The human-in-the-loop principle must be maintained for all deal approvals, with AI providing recommendations rather than autonomous decision-making during Phase 1. Full audit trail is mandatory for regulatory compliance.

SECTION 11

Board Recommendation

The Board is respectfully requested to:

Resolution 1

Approve Phase 1 development of FinaBridge Trade Credit Deal Room (LC pathway + DocAgent + manual review workflow + Deal Room interface).

Resolution 2

Authorise a pilot programme with 20–30 existing verified corporate clients, with a maximum facilitated deal volume of **$5,000,000** across all pilot participants during the first 6 months.

Resolution 3

Mandate a Phase 1 review at Month 4, at which point pilot results, deal performance data, and refined revenue projections will be presented to inform the Phase 2 commitment decision.

Resolution 4

Initiate the legal and regulatory assessment concurrently with development, with a report to the Board within 60 days.

Final Note: This initiative is not speculative. The market gap is documented at $2.5 trillion, the technology is proven, the user base exists, and the gold-backed architecture gives Finatrades a structural advantage no competitor can rapidly replicate. The Deal Room model carries zero credit risk to the platform. The question is not whether to build this — it is whether Finatrades moves first, or watches a better-funded competitor occupy the space.

Approved by:
Name: ________________________
Title: ________________________
Date: ________________________

Witnessed by:
Name: ________________________
Title: ________________________
Date: ________________________

SECTION 12

Glossary of Terms

TERM	DEFINITION
Letter of Credit (LC)	A binding payment guarantee issued by a bank on behalf of an importer, promising payment to an exporter once specified documentary conditions are met.
Bill of Lading (BL)	A legal document issued by a shipping company confirming receipt of goods for shipment; serves as a title document for the goods in transit.
Warehouse Receipt	A legal document issued by a certified storage facility confirming that specified goods are held in storage under the named owner's title.
UCP 600	Uniform Customs and Practice for Documentary Credits — the ICC's rulebook governing Letters of Credit worldwide.
Incoterms	International commercial terms defining the responsibilities of buyers and sellers in trade (e.g., FOB, CIF, DDP). Published by the ICC.
SWIFT MT700	The standardised electronic message format used internationally to issue a Letter of Credit between banks.
KYB	Know Your Business — the corporate equivalent of KYC. Verification of a business entity's legitimacy, ownership, and trade activity.
OCR	Optical Character Recognition — AI technology that reads and extracts text from uploaded documents.
Deal Room	A secure, structured digital workspace on Finatrades where importer, exporter, and the platform collaborate on a trade deal.
AI Agent	An autonomous software system that performs defined tasks with reasoning capability, without requiring step-by-step human instruction.
Double-pledging	The fraudulent act of using the same trade instrument as proof with multiple parties simultaneously.
UFM	Unified Fund Management — Finatrades' central gold treasury and ledger management system.
Tripartite	Involving three parties — Importer, Exporter, and Finatrades as the neutral deal facilitator.

This proposal was prepared by the Finatrades Product Strategy and Technology teams.
All financial projections are estimates based on comparable platform benchmarks and conservative market penetration assumptions.